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Lao PDR: Market Functionality Index Report

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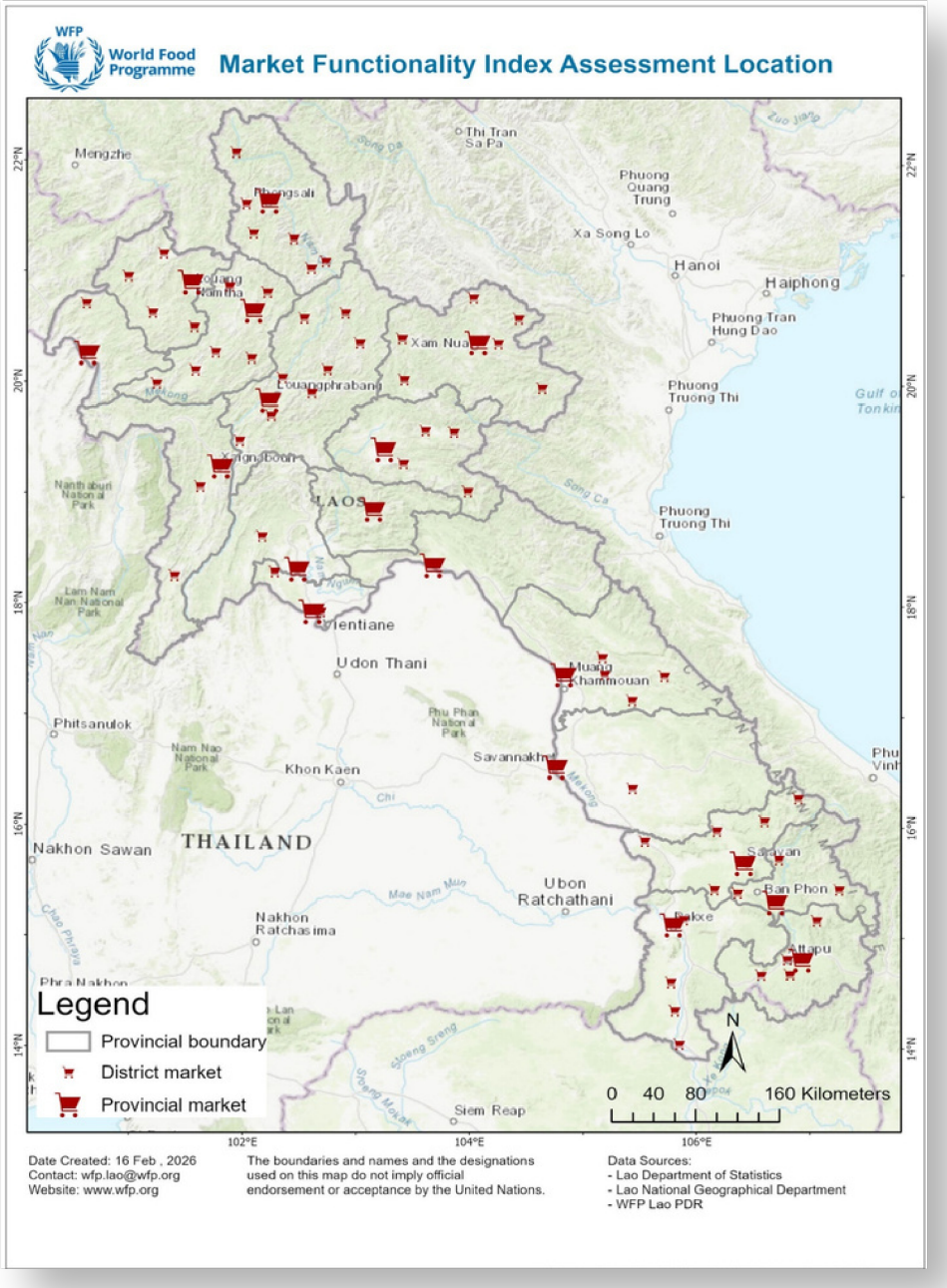
Background

The Market Functionality Index (MFI) is one of the standard market assessment tool of WFP. The assessment was conducted under supervision and support from the Ministry of Industry and Commerce. The MFI in November 2025 Round of study was the first countrywide MFI assessment in Lao PDR. Assessment was conducted in 77 markets in all provincial markets and some selected district markets where WFP is currently operated or some other vulnerable districts (Figure 1).

The MFI is a standardized quantitative measure and a light tool developed to enhance WFP's capabilities in conducting market assessments. The MFI assessment evaluates the functionality of a marketplace across nine dimensions: 1) Assortment of essential goods, 2) Availability, 3) Price, 4) Resilience of supply chains, 5) Competition, 6) Infrastructure, 7) Service, 8) Food quality, and 9) Access & Protection. It returns a score ranging between zero (lowest functionality) to ten (highest functionality); while still allowing to unfold the drivers behind the scores.



Objectives

The main objective of the assessment is to analyze the market's function. Sustainable markets are required to achieve zero hunger understand potential weaknesses of the market and to ensure that the assistance modality provided are appropriate.

The Market Functionality Index (MFI) aims to:

- Assess the capacity of markets to absorb increased demand generated by cash-based transfers (CBT) without triggering negative effects such as price inflation, stock-outs, or supply disruptions.
- Evaluate how local markets can support household needs, including access to food and essential non-food items, through regular market channels.
- Evaluate the availability and diversity of essential commodities, ensuring that consumer needs can be met safely, reliably, and at predictable prices.
- Assess the capacity and readiness of traders and supply chains to maintain adequate stock levels, respond to shocks, and ensure continuity of supply.

Modality Selection:

- Inform feasibility analysis for market-based interventions, particularly the appropriateness of cash, voucher, or hybrid response modalities.
- Measure the performance and functionality of local markets, using standardized indicators across key dimensions such as availability, price, resilience, competition, infrastructure, services, food quality, and access and protection.

Decision support:

- Provide management and programme teams with robust, evidence-based analysis to support informed and timely decision-making on response options and programme design.

Methodology

DATA COLLECTION

Data collection was conducted from November 1 to 30, 2025, by WFP field staff under the supervision of the Ministry of Industry and Commerce. The process involved one provincial market from each province, along with selected district markets where WFP operates.

In total, 60 district markets and 18 provincial markets participated, encompassing 1,034 traders. Between 7 and 15 traders, along with one market owner or manager, were interviewed at each market.

SURVEY TOOL AND ANALYSIS

Based on global questionnaire on market functionality around 9 dimensions: Assortment, Availability, Price, Resilience of Supply Chains, Competition, Infrastructure, Service, Food Quality and Access and Protection. Commodities were categorized into three groups: Cereals, Other food items (excluding cereals), Non-food items (NFIs). Each data item was scored and normalized on a scale of 0 to 10, where 10 indicates full market functionality.

The Market Functionality Index (MFI) assessment was conducted in alignment with WFP's global standard guidance. The MFI is a quantitative tool designed to evaluate how well a market operates. It examines nine key dimensions: (i) availability, (ii) assortment, (iii) price, (iv) supply chain resilience, (v) quality, (vi) competition, (vii) infrastructure, (viii) services, and (ix) access. Each dimension is scored from 0 to 10 to quantify overall market functionality, where higher scores indicate stronger capacity to support cash-based assistance.

Based on the survey answers, a score is calculated for each dimension. The nine dimensions are then weighted together to arrive at the final MFI score. The score per dimension help identify the main areas of weakness for each market and to recommend assistance modalities as well as market risk mitigation measure.

When estimating the intermediate scores by dimension, the three commodity groups are weighted differently according to their relative importance to the population's food security. The rationale is that people first secure adequate caloric intake through cereals and staples, then consider a diet more nutritionally balanced through other food items, and finally try to meet their remaining essential needs. This means intermediate scores will be impacted more by the measurements (assortment, availability, etc.) of cereals and staples than non cereal/staple food and NFIs. On the other hand, equal weighting is applied to all dimensions when estimating the aggregate index.

Market Functionality Index (MFI) Dimensions

Assortment Dimension

The assortment of essential goods dimension indicates which classes of goods to meet essential needs can be purchased in a marketplace and how much choice is offered.

Supply Chain Resilience Dimension

Evaluates both responsiveness and vulnerability of supply chains. The responsiveness of supply chains examines on current stocks last at least one week and to receive your products ordered within a week. The vulnerability of supply chains examines on relative location of suppliers, number of supplier, and monopoly of supplier.

Service Dimension

The service dimension looks at the service provided while shopping as well as during check-out.

Availability Dimension

*The **availability dimension assesses** whether certain products are scarce or likely to get scarcer in the short run.*

Competition Dimension

Evaluates if the number of traders in the market and the distribution of power among them guarantee a reasonable level of competition.

Food Quality Dimension

***Food Quality dimension** assesses food safety against key principles of hygiene and cleanliness, material separation, temperature control and stock management.*

Prices Dimension

***Prices dimension** assesses price trends and volatility. Both rising prices and excessive volatility show that the market is not functioning well.*

Infrastructure Dimension

Assesses the type and condition of the physical structures which host shops in addition to, for example, sewage system, electricity or communication network.

Access and Protection Dimension

***Access and Protection dimension** assesses whether buyers and sellers, safe access to the marketplace in terms of physical as well as social barriers for marginalized groups of people.*

MFI Scale

0 5 10

KEY FINDINGS

Overview

The MFI assessment scores range from 3.78 to 8.96, indicating varying levels of market capacity, but with a strong overall tendency toward higher functionality. The assessed markets in Lao PDR typically fall within the 201–1,000 SKU range, indicating the number of distinct products available in local markets. This SKU range serves as a proxy for assortment depth and variety, reflecting the breadth of consumer choice and the capacity of markets to offer alternatives. Overall, markets in Lao PDR are therefore classified within the “mid-to-high variety” range.

This suggests that assortment is generally sufficient to support cash-based transfers (CBT), as households can access a wide range of commonly consumed food and non-food items. At the same time, markets do not fall into the highest tier of diversification (i.e. hyper-diversified markets with more than 1,000 SKUs). As a result, constraints may persist for more specialized or less frequently traded items, particularly outside main market centres. In addition, commodity availability is generally strong.

Overall, the findings also indicate that while most districts demonstrate strong competitive market conditions, a subset of locations experiences notable competition weaknesses. Traders report that markets rarely experience stock-outs, and there is no widespread scarcity of essential commodities, particularly cereals. This further supports the conclusion that markets capacity to meet increased or shock-induced demand is uneven and dependent on service, competition, and infrastructure constraints. However, it is important to note that these markets can be disrupted by shocks both climatic and economic shock especially service, competition, and infrastructure are most likely to degrade first during shocks and how this affects CBT risk.

Nationnal Level Overview

The aggregated MFI score is 6.8, indicating moderate to good overall market functionality. Most core market fundamentals are strong, suggesting markets are generally capable of supporting cash-based assistance, though some structural constraints remain. The MFI assessment for Lao PDR reveals a nuanced picture of market strengths and vulnerabilities. While markets are broadly functional, several factors impact their ability to support households and scale up in response to increased demand or shocks.

Markets Are Functioning and Well-Stocked

Strong scores for availability (9.9) and assortment (8.8) demonstrate that households can reliably access staple foods and essential non-food items on most days. Regular restocking by traders ensures that systemic market failure and widespread stock outs are not present. This means households can find staple foods and basic non-food items consistently and traders are able to maintain regular inventory replenishment. Markets possess the capacity to meet demand, including additional needs generated by cash-based transfers (CBT).

Prices Are Responsive, But Affordability Is a Major Concern

With a price score of 8.0, markets in Lao PDR respond to supply and demand dynamics, and there is no sign of widespread price manipulation or collapse. However, this responsiveness does not guarantee affordability. High costs of fuel, reliance on transportation, and currency depreciation can contribute to elevated prices. As a result, even well-functioning markets can leave households struggling to purchase sufficient food. There is no significant evidence of price fixing or uncontrolled price drops. Despite this, affordability remains a challenge due to external factors such as currency fluctuations and unreliable and unsustainable income sources. The central risk lies in household purchasing power, not in market breakdown. Therefore, ongoing price monitoring is crucial.

Nationnal Level Overview (cont'd)

Supply Chains Are Resilient

Markets in Lao PDR show a high resilience score (9.0), indicating that they generally bounce back after disruptions such as floods, fuel shortages, or road closures. Traders often have alternative sourcing options, particularly in areas with better infrastructure. However, this resilience is closely tied to proximity to provincial hubs and road conditions. While resilient under normal circumstances, markets are sensitive to shocks such as floods or fuel crises, which can quickly undermine this stability.

Competition Exists, But Markets Remain Thin

A competition score of 8.0 suggests that most markets have several traders and some degree of price competition, helping prevent monopolies. Nonetheless, the markets are "thin," with a small number of traders controlling most of the trade volume. Large or poorly timed cash injections could fuel price increases or strain local supply; therefore, findings will be used to define practical mitigation measures such as phased or staggered transfers, trader engagement and support mechanisms, and price-monitoring triggers to guide adjustments in transfer values, caseload size, or delivery timing.

Quality Is Acceptable, But Not Exceptional

The quality score of 8.5 indicates that food is generally safe and meets basic standards. However, gaps remain in areas such as cold-chain management, meat handling, and product expiry monitoring.

Service is the Critical Bottleneck

The service score of 5.2 is the clear weak point. Is consistently the lowest dimension in most markets. A low score means traders face challenges scaling up quickly, restocking can lag when demand surges, and cash-based interventions may not always translate into increased supply as intended.

DIMENSION	SCORE
Availability	9.9
Protection / Access	9.8
Resilience	9
Infrastructure	9
Assortment	8.8
Competition	8
Quality	8.5
Price	8
Service	5.2
OVERALL MFI	6.8

Market Functionality by Province

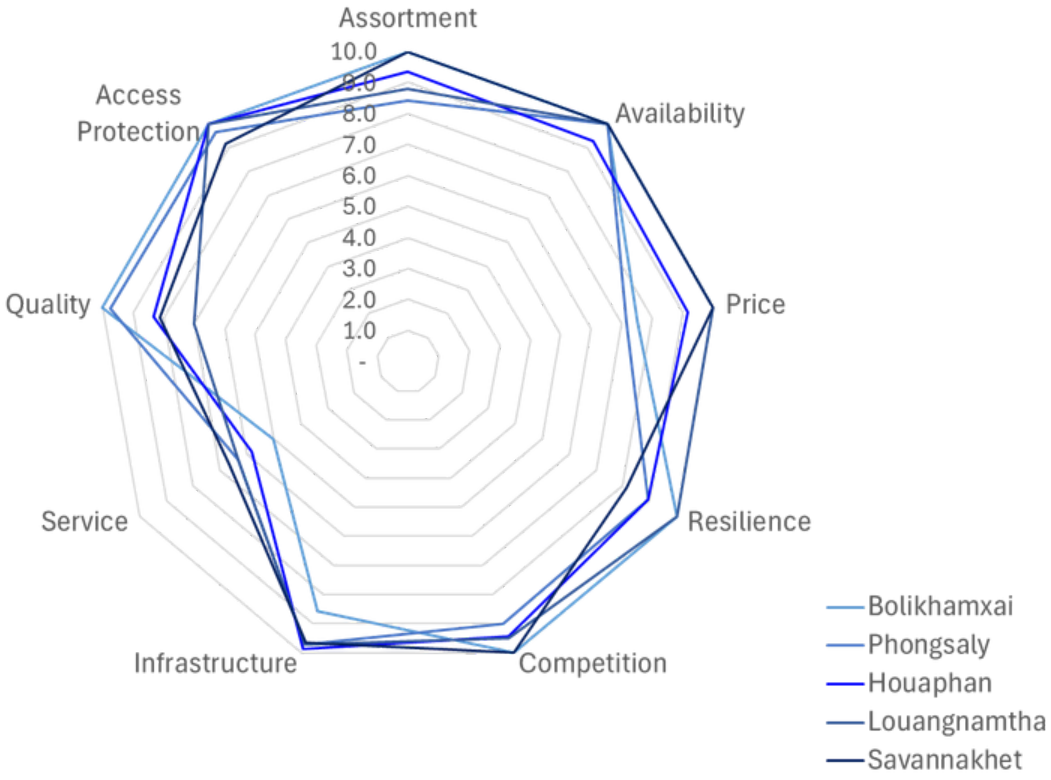
Across the 18 provinces shown, overall market functionality (MFI Score) suggests moderate to strong market functionality overall, with a few provinces noticeably weaker than the rest. The pattern is very consistent: Availability and Access/Protection score extremely high almost everywhere, while Service is the single biggest constraint in every province (it is the lowest-scoring dimension for all 18 provinces).

Province	Assortment	Availability	Price	Resilience	Competition	Infrastructure	Service	Quality	Access Protection	MFI Score
Xiengkhouang	9.0	9.5	5.8	8.2	7.2	9.1	4.0	7.8	10.0	5.6
Salavan	7.0	10.0	6.0	9.1	6.2	9.0	5.3	9.8	10.0	5.9
Xaisomboon	7.0	10.0	10.0	10.0	7.5	9.3	3.3	8.8	10.0	6.1
Champasack	8.6	10.0	7.2	8.8	7.7	8.9	6.0	6.3	9.8	6.1
Louangphabang	9.1	10.0	7.5	8.8	6.6	8.3	4.6	8.6	10.0	6.3
Xaignabouly	10.0	10.0	7.5	9.2	9.2	9.0	3.9	7.1	9.7	6.4
Oudomxai	7.6	10.0	8.3	8.9	7.1	8.0	4.7	8.1	9.7	6.5
Sekong	8.3	10.0	5.8	8.6	9.2	9.3	5.0	8.8	10.0	6.6
Attapeu	8.6	10.0	9.3	9.6	8.2	8.3	5.0	7.8	8.8	6.6
Bokeo	9.5	10.0	6.3	8.3	7.5	7.1	5.0	8.8	9.2	6.7
Vientiane Capital	9.7	10.0	7.8	8.8	8.9	9.5	5.0	6.3	9.4	6.7
Khammouan	10.0	10.0	10.0	8.8	6.8	9.4	4.7	9.5	10.0	7.0
Vientiane	9.5	10.0	8.3	9.4	5.4	10.0	5.0	10.0	8.8	7.0
Bolikhamxai	10.0	10.0	7.5	10.0	10.0	8.6	5.0	10.0	10.0	7.2
Phongsaly	8.4	10.0	7.1	8.9	9.0	9.7	6.3	9.8	9.7	7.4
Houaphan	9.4	9.3	9.2	8.9	9.4	9.9	5.8	8.3	10.0	7.7
Louangnamtha	8.8	10.0	10.0	10.0	9.5	9.7	6.3	7.0	10.0	7.8
Savannakhet	10.0	10.0	10.0	8.1	10.0	9.6	6.7	8.1	9.2	8.1

Market Functionality:

Very high (7 – 10) | High (6 – 7) | Medium to high (5 – 6) | Low to medium (4 – 5) | Low (3 – 4) | Very low (0 – 3)

Very High MFI by Province



Provinces with Highest MFI Scores

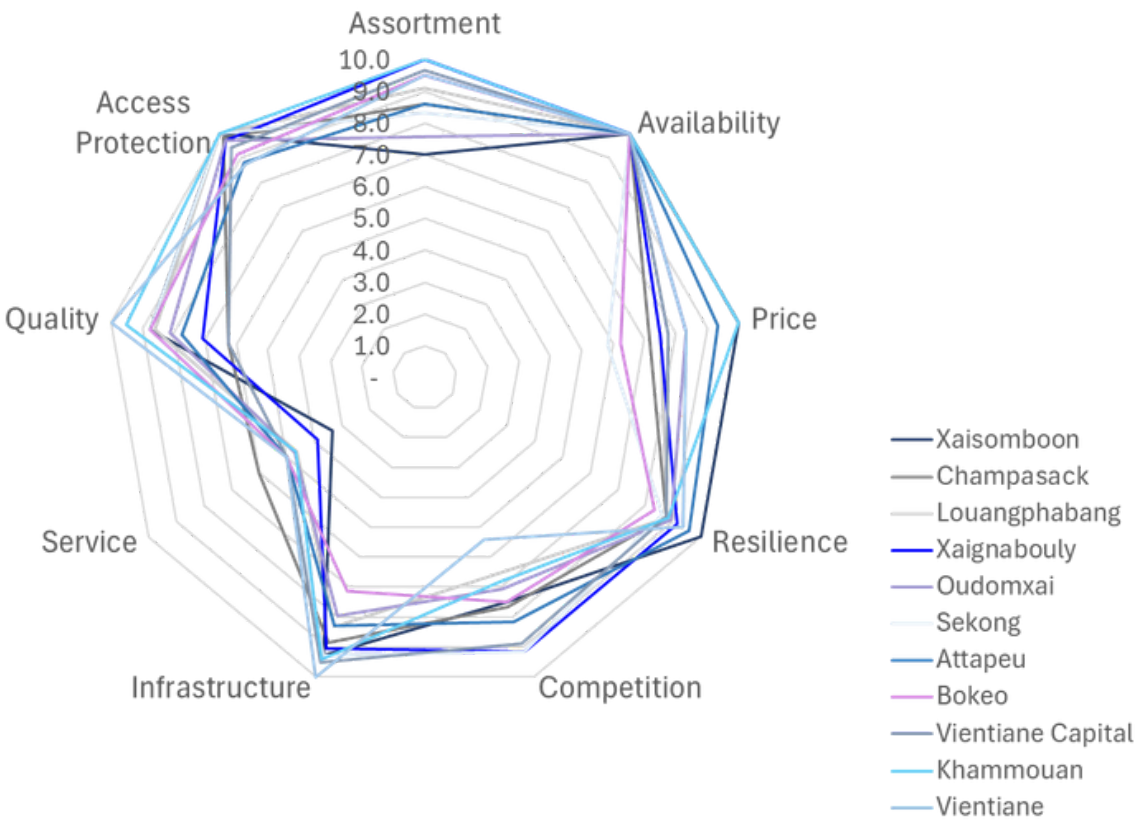
Savannakhet (8.1) is the strongest overall, with excellent performance in assortment, availability, price, competition, infrastructure, and the highest service score in the dataset (6.7). Despite its strengths, services remain lower than other dimensions.

Louangnamtha (7.8) demonstrates very strong functionality, including multiple perfect scores (10.0) for availability, price, resilience, and access/protection.

Houaphan (7.7) performs well across most dimensions, particularly competition (9.4) and infrastructure (9.9), and features relatively better service (5.8).

Bolikhamxai (7.2) closely follows, showing broad strengths and high scores for infrastructure and competition.

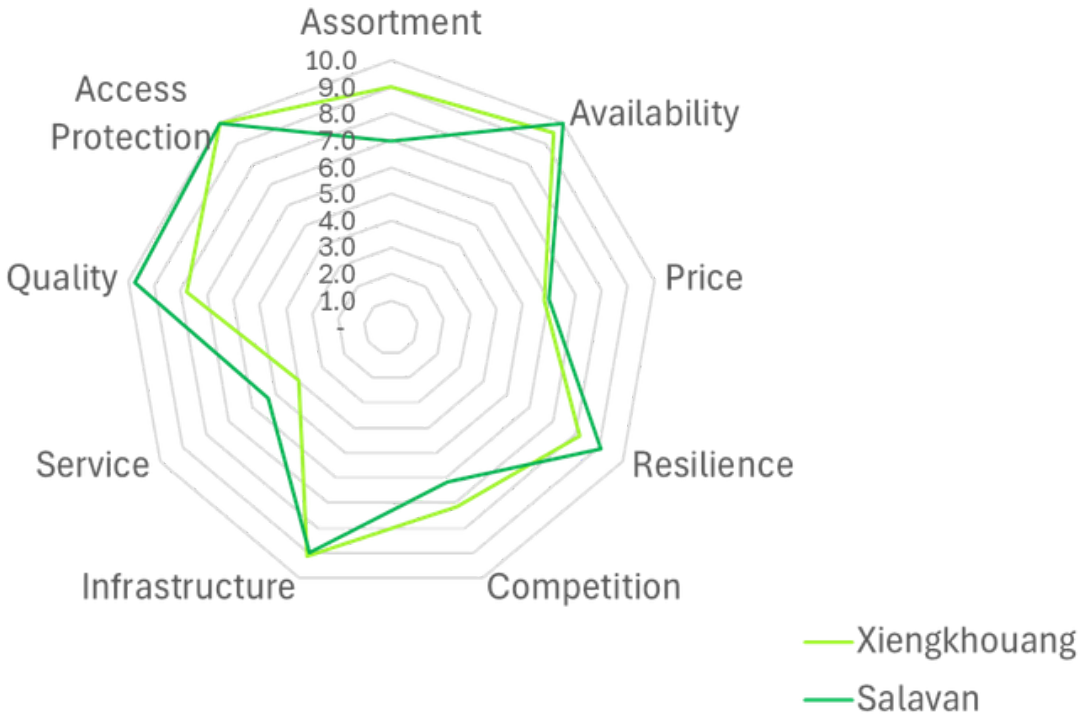
High MFI by Province



Xaisomboon (6.1) and Champasack (6.1) both have good availability and access, yet Xaisomboon is hindered by very low Service (3.3), while Champasack's Quality (6.3) is a notable weakness.

Louangphabang (6.3) is generally solid, but its aggregate score is kept lower than top performers due to Service (4.6) and Quality (8.6).

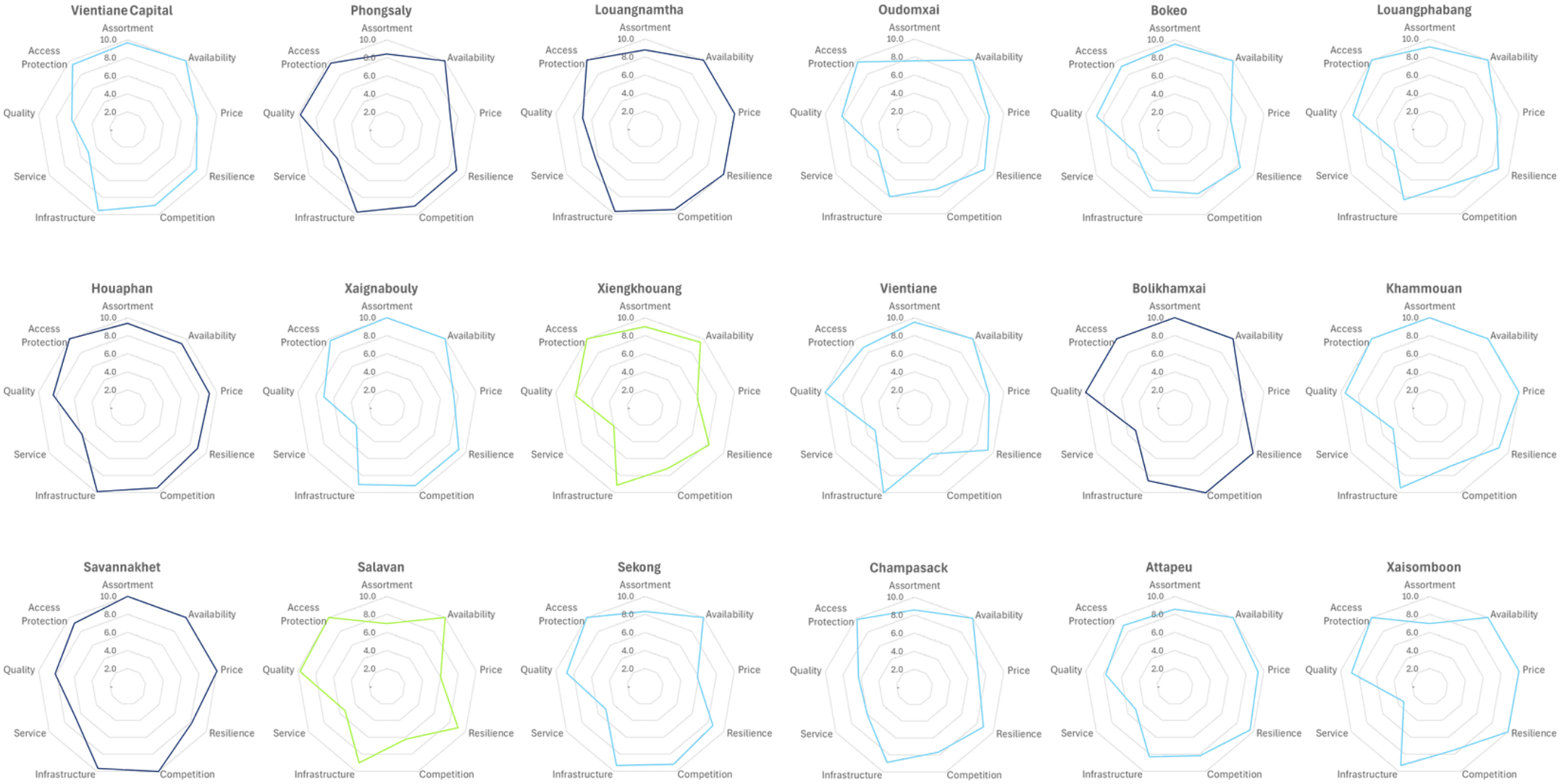
Medium-High MFI by Province



Xiengkhouang (5.6) ranks lowest overall, primarily due to weak Service (4.0) and Price (5.8).

Salavan (5.9) showcases strong availability and access, but its scores are constrained by Price (6.0) and relatively low competition (6.2).

MFI by Province



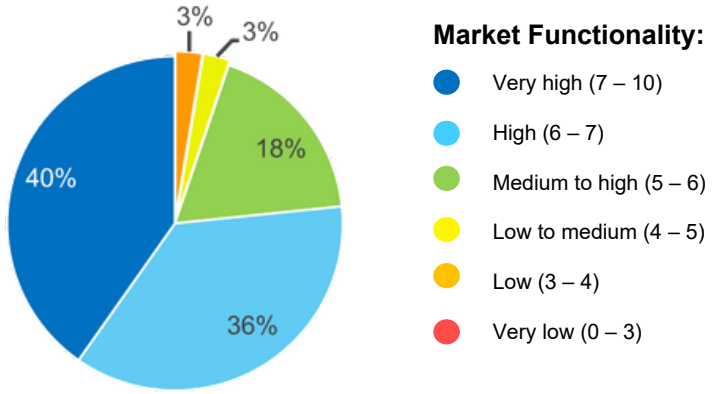
Market Functionality:

- Very high (7 – 10)
- High (6 – 7)
- Medium to high (5 – 6)
- Low to medium (4 – 5)
- Low (3 – 4)
- Very low (0 – 3)

Overview of District

Overview

Most of the districts evaluated are rated as having "High" or "Very High" market functionality, MFI scores exceeding 6.0. These districts exhibit strong market integration, diversified supply chains, and sufficient trader competition. In particular, districts with “Very High” MFI scores (≥7.0) show robust capacity to absorb increased demand without significant distortion. In these locations, unrestricted multipurpose cash assistance can be considered appropriate and low risk, including for emergency response and scale-up scenarios. Overall, the MFI results indicate that cash-based assistance is appropriate in most districts, supporting a cash-first response approach. Market-based programming can be confidently implemented in “High” and “Very High” MFI districts, while more tailored or mixed modalities should be applied in districts with lower functionality. Households in these areas can access cereals, other food items, and non-food items (NFIs) as these commodities are sufficiently available and affordable across these markets. A significant proportion of districts fall under the “Medium to High” market functionality category. These markets demonstrate adequate supply, trader competition, and consumer access, suggesting that cash-based interventions are feasible, provided that regular price and supply monitoring is maintained. Two districts (Toomlarn and Tai oi) are classified as “Low to Medium” market functionality, reflecting partially functioning markets that may be vulnerable to shocks. Only a very small number of districts fall within the “Low” market functionality category, namely Khong and Kham districts, with MFI scores below 4.0. The lower scores are mainly driven by service quality and food safety, not by lack of goods or price instability.



District	MFI Score	Market Functionality
Khong	3.78	Low
Kham	3.88	Low
Toomlarn	4.16	Low to medium
Ta oi	4.63	Low to medium
Phonxay	5.26	Medium to high
Viengkham	5.33	Medium to high
Nambak	5.47	Medium to high
Mork	5.49	Medium to high
Park ou	5.64	Medium to high
La	5.69	Medium to high
Sukhuma	5.7	Medium to high
Sanxay	5.8	Medium to high
Parkbeng	5.83	Medium to high
Nga	5.87	Medium to high
Dakcheung	5.88	Medium to high
Moonlapamok	5.9	Medium to high
Ngoi	5.91	Medium to high
Samakkhixay	5.99	Medium to high

OVERVIEW OF DIMENSIONS BY MARKETS

Assortment of Essential Goods

District	Market	Assortment
Ta oi	Ta oi	4
Phongsaly	Phongsaly	5
Xay	Nongmengda	5
Hoon	Hoon	6
Parkbeng	Pakbeng	6
Kham	Kham	6
Lakhonepheng	Lakhonepheng	6
Sanxay	Sanxay	6
Boontay	Boontai	7
Xieng ngeun	Xieng ngeun	7
Phonxay	Phonxay	7
Toomlarn	Toomlarn	7
Dakcheung	Dakcheung	7
Sukhuma	Sukhuma	7
Moonlapamok	Moonlapamok	7
Anouvong	Anouvong	7

The assortment dimension indicates that markets across the majority of districts are well functioning, with sufficient diversity of food and non-food items to support market-based modalities, including cash-based transfers (CBT). Most assessed districts exhibit strong to very strong assortment performance, suggesting that households are able to access a broad range of essential commodities through local markets.

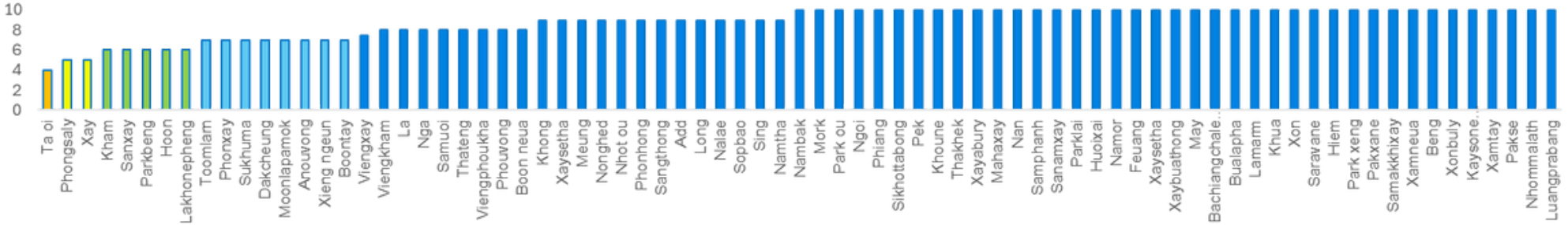
Assortment scores range from 4 to 10, with the distribution clearly concentrated at the higher end of the scale. A large share of districts score between 8 and 10, reflecting markets where traders stock a wide mix of goods and where consumers benefit from multiple purchasing options. These conditions are characteristic of well-supplied markets and indicate a level of diversification that enhances consumer choice and reduces vulnerability to localized supply disruptions.

A smaller group of districts records moderate assortment scores (7–8), including Boontay, Xieng Ngeun, Phonxay, Toomlarn, Dakcheung, Sukhuma, Moonlapamok, Anouvong, and Viengxay. In these areas, markets remain functional and capable of meeting basic household needs; however, the range of available products is comparatively thinner, limiting substitution options in the event of disruptions or price changes.

A limited number of low-scoring outliers stand out more clearly. Districts such as Ta Oi (score 4) and Phongsaly and Xay (score 5) show the most constrained assortment profiles. These markets are likely characterized by fewer active traders, narrower product ranges, and weaker supply linkages, making them more sensitive to shocks and reducing household choice. In such contexts, closer monitoring and, if required, complementary market support measures would be advisable.

Across districts, the primary assortment gap relates to health-related non-food items (NFI-Health). Basic medicines, first-aid materials, over-the-counter treatments, and other health consumables are not consistently available or are present at levels insufficient to score positively. While this gap does not undermine the overall strength of market assortment, it highlights a structural limitation that may affect households' ability to meet health needs solely through markets.

Overall, the average assortment score is high (8.8), placing markets in the mid-to-high variety range. This indicates that, in aggregate, markets are sufficiently diversified to support CBT in most locations. However, markets do not exhibit characteristics of hyper-diversified systems (e.g. >1,000 SKUs), suggesting that constraints may persist for specialized or less commonly traded items.



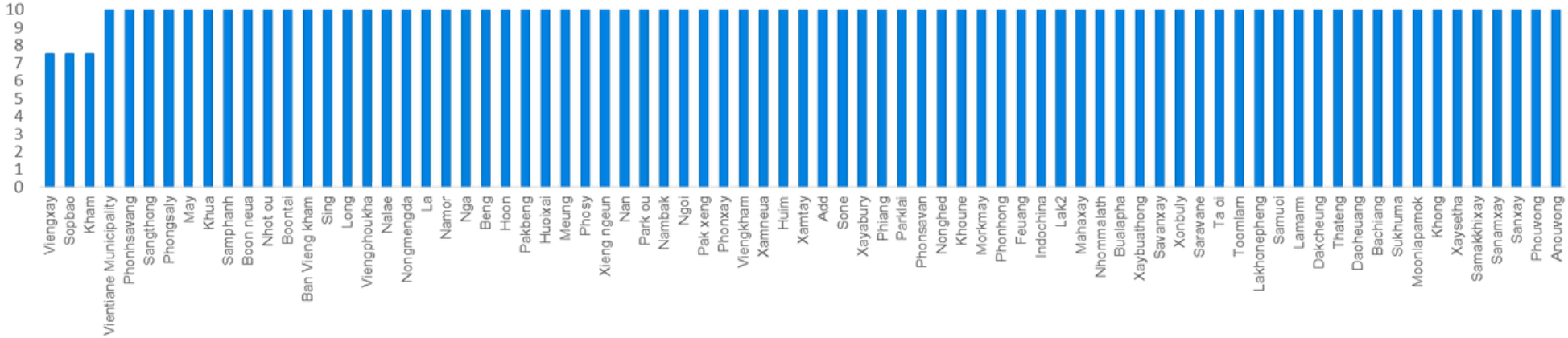
Availability

The Availability dimension indicates that markets across Lao PDR are broadly supportive of market-based assistance. Traders report that key commodities including staple foods, essential non-food items, and other goods are not at immediate risk of stock-out, suggesting that current supply levels are sufficient to meet demand at the time of assessment.

Availability scores show high and consistent performance across districts, with the majority assigned the maximum score of 10. This reflects a largely standardized and uniform supply environment nationwide, covering urban, peri-urban, and remote districts. The consistency of scores indicates that availability constraints are not geographically concentrated and that markets are functioning with comparable levels of stock adequacy across locations.

Only three districts like Viengxay, Sopbao, and Kham record slightly lower availability scores (7.5). These values suggest moderate but still functional availability, reflecting limited and targeted adjustments in stock levels rather than systemic shortages. Importantly, availability in these districts remains above thresholds typically associated with market stress or supply failure.

From an MFI interpretation perspective, high availability scores substantially reduce the likelihood that cash-based transfers would lead to rapid price increases or unmet needs caused by supply shortages, under current conditions. Overall, the Availability dimension is assessed as supportive of CBT implementation, with no significant availability-related constraints identified, while continued routine monitoring is recommended to capture any seasonal or shock-related changes.



Price

District	Price Score
Mork	2.5
Phongsaly	5
May	5
Khua	5
Samphanh	5
Nga	5
Meung	5
Park ou	5
Nambak	5
Ngoi	5
Viengkham	5
Pek	5
Kham	5
Saravane	5
Ta oi	5
Lakhonepheng	5
Samuoi	5
Lamarm	5
Dakcheung	5
Bachiangchaleunsook	5
Moonlapamok	5
Sikhottabong	5.83
Phiang	5.83
Khong	5.83
Beng	6.67
Xayabury	6.67
Khoune	6.67
Feuang	6.67

At the national level and based on trader responses captured through the MFI tool, market price conditions are generally stable. Traders report no recent price increases across the key consumption baskets, and prices are described as predictable, which constitutes a strong positive signal for overall market functionality.

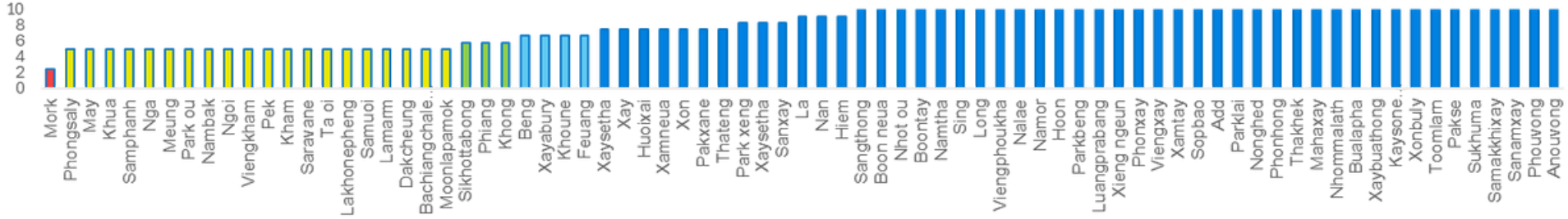
Within the MFI framework, the Price dimension assesses price stability and volatility, recognizing that sustained price increases or high volatility are indicative of market stress. Higher scores (closer to 10) reflect well-functioning markets where prices are stable and predictable, supply chains are reliable, traders maintain adequate stock levels, and access to markets is generally unconstrained. Lower scores (closer to 0) signal price-related market weaknesses, often associated with supply disruptions, infrastructure constraints, or access barriers.

Results indicate that the majority of districts record high Price dimension scores, with a large proportion scoring 10, reflecting stable pricing conditions and well-functioning markets across much of the country. Several districts fall within upper-middle score ranges (7.5–9.17), suggesting prices remain generally stable, with only minor fluctuations that do not currently undermine market functionality but may justify routine oversight.

A smaller group of districts records mid-range scores between 5 and 6.67, indicating moderate price volatility or emerging price pressures. While markets in these areas remain functional, such conditions may affect household purchasing power and trader reliability if pressures intensify.

At the lower end of the scale, Mork, with a score of 2.5, exhibits the most pronounced price-related constraints, indicating significant volatility or sustained price increases that limit effective market functioning. Other districts scoring around 5 also point to locations where price stability is weaker or supply chains are less reliable, highlighting areas where enhanced price monitoring or targeted market support may be required.

Overall, the Price dimension results indicate that market price conditions are supportive of cash-based transfers in most districts, while identifying a limited subset of locations with price-related constraints. These findings underscore the importance of a differentiated and context-specific approach, combining CBT with strengthened monitoring and adaptive risk management in districts experiencing higher levels of price volatility.



Supply Chain Resilience

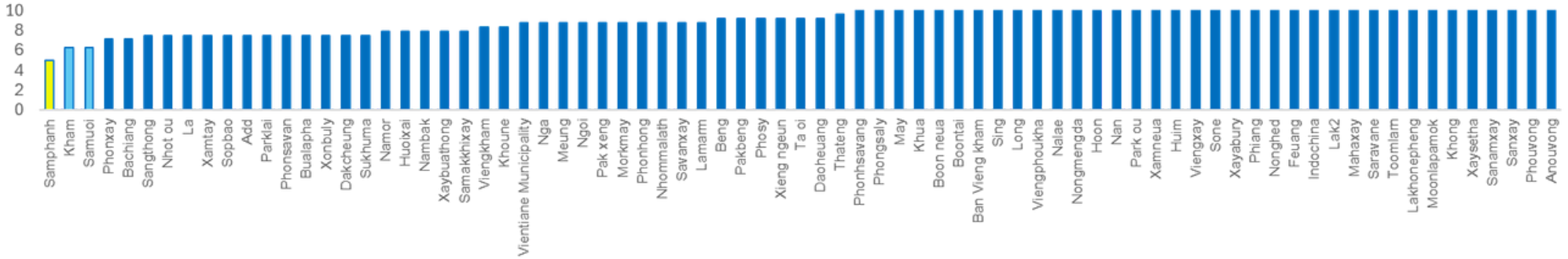
District	Supply Chain Resilience score
Samphanh	5
Kham	6.25
Samuoi	6.25

Overall, the Supply Chain Resilience dimension scores high at the aggregate level (9.0), indicating that markets are generally capable of maintaining supply and responding to demand. However, when the results are disaggregated, a clear contrast emerges between responsiveness and vulnerability to disruption. While responsiveness scores are very strong (10), indicating that traders are currently able to meet demand and replenish stocks, disruption vulnerability scores are notably lower (6.7). This suggests that markets perform well under normal conditions but are less resilient to external shocks.

The vulnerability is particularly evident in node density for cereals and other food items, which is assessed as weak. Node density reflects the diversification of supply networks that is, the extent to which traders rely on multiple suppliers, routes, or sourcing nodes. Lower node density implies fewer alternatives and greater exposure if a key route or supplier is disrupted.

At the same time, markets are generally not highly dependent on a single critical supplier or route, which is a positive resilience signal. This reduces the likelihood of complete market failure following a disruption and is especially important in Lao PDR, where seasonal and geographic constraints can temporarily isolate districts. However, the limited number of supply channels for cereals and other foods increases fragility in the event of shocks such as monsoon-related road closures, fuel price increases, or reduced wholesaler deliveries.
Disaggregated district-level results reinforce this overall pattern. The majority of districts record high resilience scores (8.75–10), reflecting strong supply chain performance characterized by adequate stockholding, timely replenishment, diversified supplier bases, and limited reliance on individual suppliers. These markets are well positioned to absorb routine fluctuations in demand.

A smaller group of districts fall within upper-middle resilience ranges (7.5–7.92), indicating moderately resilient supply chains. While markets in these areas remain functional, they may experience occasional delays in restocking or increased reliance on a reduced number of suppliers, justifying continued monitoring. Districts scoring 6.25–7.08 reflect more pronounced constraints, where limited supplier diversity or slower responsiveness increases vulnerability to disruption.
At the lower end of the scale, Samphanh, with a score of 5, exhibits more significant supply chain weaknesses. These results suggest limited buffer stocks, slower replenishment capacity, and higher supplier concentration, increasing the risk that shocks could disrupt the consistent availability of goods.



Competition

District	Competition Score
Ta oi	1.67
Phonxay	2.5
Viengkham	2.5
Parkbeng	3.33
Kham	3.33
Moonlapamok	3.33
Sanxay	3.33
Nambak	5
Ngoi	5
Nonghed	5
Phonhong	5
Xaybuathong	5
Sukhuma	5
Feuang	5.83
Thakhek	5.83
Sangthong	6.67
La	6.67
Park ou	6.67
Mahaxay	6.67
Bualapha	6.67

At the national level, the Competition dimension records a relatively strong overall score (8), indicating that market competition is generally supportive of effective market functioning. However, this national average masks important sub-national variation. In Lao PDR, low competition is more frequently observed in remote and mountainous districts, small markets with limited demand, and areas affected by seasonal road cut-offs. This pattern is evident in districts such as Ta Oi, Phonxay, and similar locations.

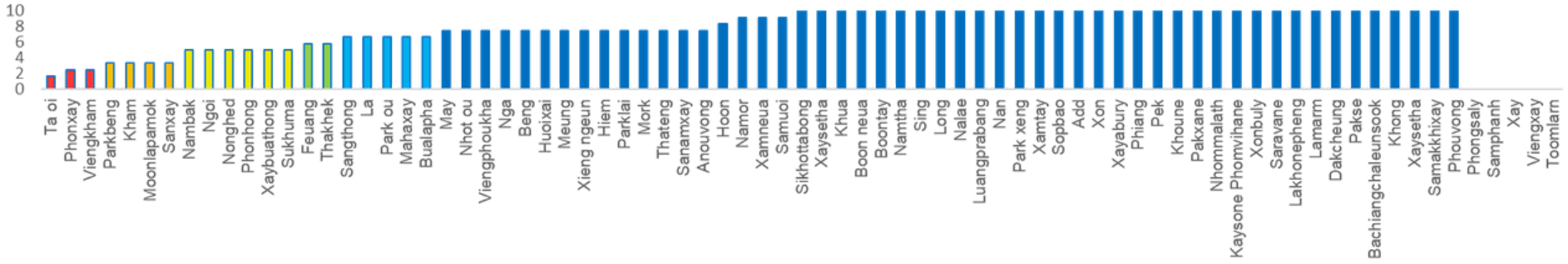
Within the MFI framework, the Competition dimension assesses whether the number of active traders and the distribution of market power ensure a reasonable degree of competition. Well-functioning competitive markets help prevent price manipulation, support price stability, encourage adequate assortment, and improve consumer access. Higher scores (closer to 10) reflect markets with multiple traders and balanced market power, while lower scores (closer to 0) indicate weak competition, often linked to trader concentration, dominance by a single supplier, or barriers to market entry.

Results show considerable variation in competition across districts. A substantial number of districts record high competition scores (10), indicating strong competitive conditions characterized by multiple active traders and limited concentration of market power. These markets are generally well positioned to maintain stable prices, adequate product availability, and meaningful consumer choice.

Several districts fall within upper-middle score ranges (7.5–9.17), suggesting moderately competitive markets. In these areas, trader numbers are generally sufficient, though some imbalance in market power may exist. While competition remains functional, these markets may be more vulnerable to shocks or temporary price coordination, particularly during periods of heightened demand.

A further group of districts records mid-range scores (5–6.67), pointing to moderate to weak competition. In these locations, a limited number of traders or uneven market power distribution may constrain competition, with potential implications for price stability, availability, and consumer access. These districts may benefit from closer monitoring or interventions that support trader entry and diversification.

At the lower end of the scale, Toomlarn (score 0) and districts such as Ta Oi (1.67) and Phonxay and Viengkham (2.5) exhibit significant competition constraints. These scores reflect highly concentrated market structures, with fewer than five key traders and, in some cases, dominance by a single trader or supply channel. Such conditions increase vulnerability to price manipulation and supply disruptions, making these markets more fragile and more sensitive to shocks.



Infrastructure

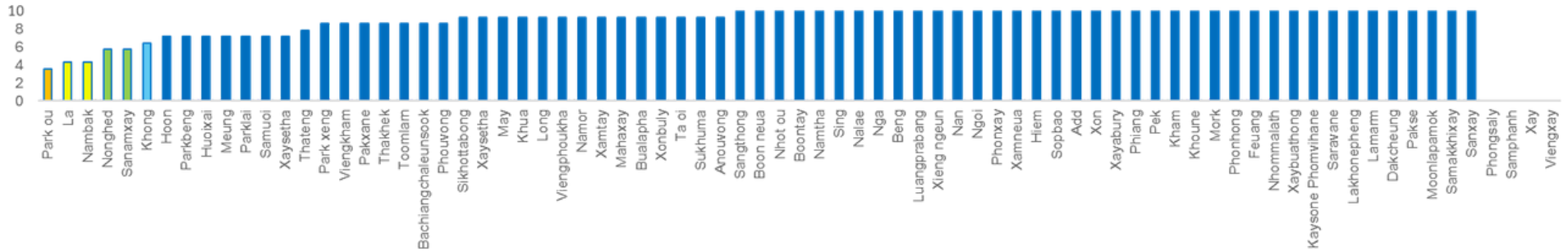
District	Infrastructure Dimension Score
Park ou	3.57
La	4.29
Nambak	4.29
Nonghed	5.71
Sanamxay	5.71
Khong	6.43

Overall, the results indicate strong infrastructure performance across most districts. The majority score 9.29 or higher, with many achieving the maximum score of 10. These high-scoring districts are characterized by well-developed market facilities, reliable basic services, and generally favorable access conditions. Such infrastructure supports stable prices, consistent availability of goods, and efficient trading activities.

A smaller group of districts falls within the moderate range (7.14–8.57), pointing to infrastructure that is broadly functional but not without constraints. In these areas, markets remain operational and accessible; however, lingering issues such as uneven quality of physical structures or less reliable services may reduce efficiency and slightly constrain market performance.

In contrast, a limited number of districts record lower infrastructure scores (below 6), notably Park Ou, La, Nambak, Nonghed, and Sanamxay. These scores signal more pronounced infrastructure weaknesses, including poorer market facilities, unreliable or limited basic services, and access challenges. Such conditions can hinder market activity, contribute to sporadic availability of essential goods, and increase exposure to price volatility, affecting both traders and consumers.

In summary, the infrastructure assessment highlights a generally strong enabling environment for markets nationwide, complemented by a small number of localized vulnerabilities. Addressing these infrastructure gaps through targeted support or investment would help strengthen market functionality and enhance resilience in lower-scoring districts.



Service

District	Service Dimension Score
La	3.33
Nga	3.33
Nan	3.33
Park ou	3.33
Nambak	3.33
Ngoi	3.33
Xayabury	3.33
Phiang	3.33
Pek	3.33
Khoune	3.33
Mork	3.33
Thakhek	3.33
Mahaxay	3.33
Dakcheung	3.33
Sukhuma	3.33
Khong	3.33
Anouvong	3.33
Sikhottabong	5
Xaysetha	5
Sangthong	5
May	5
Khua	5
Nhot ou	5
Viengphoukha	5
Namor	5
Hoon	5

District	Service Dimension Score
Parkbeng	5
Huoixai	5
Meung	5
Xieng ngeun	5
Park xeng	5
Phonxay	5
Hiem	5
Add	5
Xon	5
Parklai	5
Kham	5
Nonghed	5
Phonhong	5
Feuang	5
Pakxane	5
Bualapha	5
Xaybuathong	5
Saravane	5
Ta oi	5
Toomlarn	5
Samuoi	5
Thateng	5
Xaysetha	5
Samakkhixay	5
Sanamxay	5
Sanxay	5

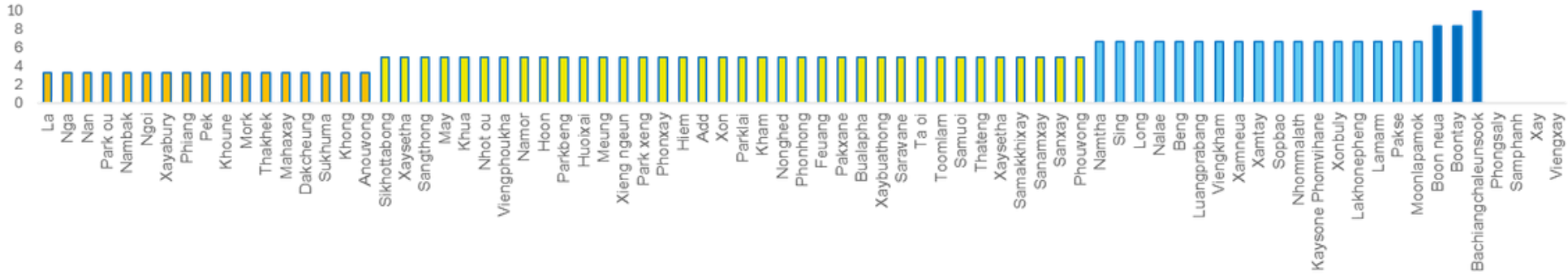
District	Service Dimension Score
Phouvong	5
Namtha	6.67
Sing	6.67
Long	6.67
Nalae	6.67
Beng	6.67
Luangprabang	6.67
Viengkham	6.67
Xamneua	6.67
Xamtay	6.67
Sopbao	6.67
Nhommalath	6.67
Kaysone Phomvihane	6.67
Xonbuly	6.67
Lakhonepheng	6.67
Lamarm	6.67
Pakse	6.67
Moonlapamok	6.67
Boon neua	8.33
Boontay	8.33
Bachiangchaleunsook	10
Phongsaly	No score
Samphanh	No score
Xay	No score
Viengxay	No score

The Service dimension assesses the quality of the customer experience during shopping and at checkout. Higher scores (closer to 10) indicate well-functioning markets characterized by efficient transactions, transparent pricing, reliable supply chains, and good access for consumers. Lower scores signal service-related constraints that may affect transaction efficiency, accountability, and the overall effectiveness of market-based assistance.

Across Lao PDR, several positive service features are evident. Markets generally accept multiple forms of payment, including cash and, in some locations, QR-based or e-wallet systems. This flexibility reduces transaction frictions for customers and supports the scalability of cash-based transfers. In addition, products are visibly displayed in most markets, reflecting a relatively organized retail environment that allows households to compare options more easily and make informed purchasing decisions.

At the same time, service-related constraints are evident and contribute to lower overall Service dimension scores. The main factors pulling scores down are issues related to automatic receipt issuance at checkout, long waiting times, and the absence of visible price tags. Longer waiting times are likely linked to the structure of many market stalls, which are often operated by a single individual, limiting checkout capacity during peak demand periods. The lack of automatic receipts reflects the largely informal nature of transactions in Lao PDR's small food and NFI markets, where purchases are rarely documented. Similarly, the absence of visible price tags which is common in informal retail settings where bargaining or "asking the price" is standard which reduces price transparency. This price opacity limits consumers' ability to compare prices easily and increases the risk of price discrimination.

As a result, service performance across districts is mixed. Most districts cluster in the low to moderate score range (3.33–5), indicating that while basic market services are generally present, many locations face constraints related to checkout efficiency, transparency, and consistency of service quality. A smaller number of districts score 6.67 or higher, reflecting comparatively stronger service standards, smoother market interactions, and more consumer-friendly environments. Only a limited set of districts demonstrates strong service performance across all indicators.



Quality

District	Quality Dimension Score
Kham	1.25
Sikhottabong	3.75
Xaysetha	3.75
Xaysetha	5
Namor	5
Phiang	5
Long	6.25
Viengphoukha	6.25
Nalae	6.25
Xieng ngeun	6.25
Phonxay	6.25
Xamneua	6.25
Bachiangchaleunsook	6.25
Sukhuma	6.25

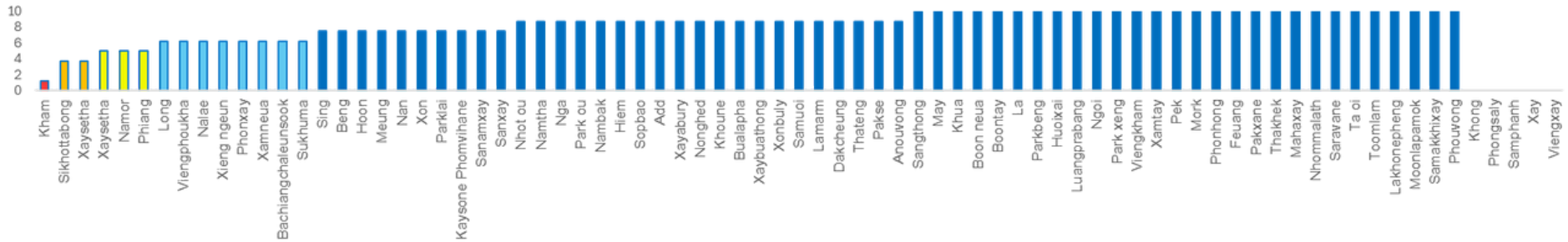
The Food Quality dimension assesses food safety conditions in markets against key principles, including hygiene and cleanliness, separation of materials, temperature control, and stock management. Higher scores (closer to 10) indicate markets where food handling practices meet basic safety standards, supporting consumer confidence and reliable access to safe food. Lower scores (closer to 0) signal elevated risks related to poor hygiene, inadequate storage, or weak stock management practices.

Overall, food quality performance varies across districts, but remains broadly positive. Many districts score 8.75 or above, with a substantial number achieving the maximum score of 10. These high-scoring areas demonstrate strong adherence to food safety practices, including acceptable hygiene standards, appropriate handling and storage of food items, and generally well-managed market environments.

However, a smaller subset of districts records low to moderate scores, most notably very low performance in Kham and weaker results in parts of Sikhottabong and Xaysetha. These scores point to localized food safety concerns, potentially linked to inadequate cleanliness, insufficient temperature control, or poor separation of food items. Such conditions increase potential health risks for consumers and highlight areas where targeted improvements in hygiene and food handling practices are needed.

At the indicator level, the Food Quality dimension suggests generally favourable market conditions. Refrigeration is present and functioning in most markets, products are largely unexpired, packaging is intact, and food items are stored with basic separation from contaminants. These findings indicate that core food safety infrastructure and practices are in place across many locations.

At the same time, signs of food spoilage were reported or observed in some markets, indicating localized food safety risks despite the presence of functioning storage infrastructure. This pattern suggests that risks may stem not from the absence of infrastructure, but from inconsistent handling, turnover, or maintenance practices, particularly in warmer or more humid conditions.

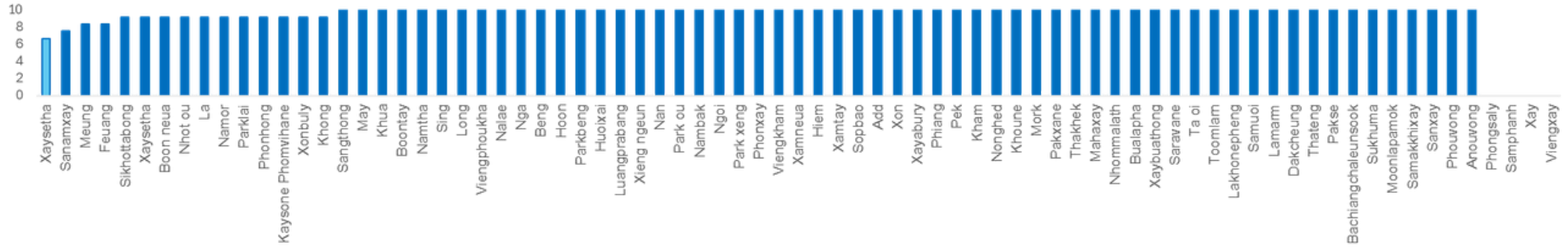


Access and Protection

The Access and Protection dimension evaluates whether buyers and sellers particularly vulnerable and marginalized groups, can safely and equitably access markets, taking into account both physical and social barriers. Higher scores (closer to 10) indicate markets that are broadly accessible and safe, supporting stable prices, reliable supply chains, and smooth market functioning, while lower scores highlight access constraints or protection risks that may undermine market performance.

Overall, access and protection conditions are very strong across the vast majority of districts. Most districts achieve the maximum score of 10, - indicating minimal barriers to market access and low levels of reported protection concerns. These results suggest that markets are generally reachable, inclusive, and safe for both consumers and traders, with no significant structural limitations affecting market participation.

Only Xaysettha district in Attapeu Province records a slightly lower score than other districts. This suggests the presence of localized access or protection challenges, potentially related to physical accessibility, infrastructure, or social factors. However, these constraints appear to be limited in scope and do not reflect broader or systemic issues.



Summary of Dimensions Findings

Province	District	Market	Assortment	Availability	Price	Resilience	Competition	Infrastructure	Service	Quality	Protection	MFI Score
Vientiane Capital	Sikhottabong	Vientiane Municipality	10	10	5.8	8.8	10	9.3	5	3.8	9.2	6.1
Vientiane Capital	Xaysetha	Phonhsavang	10	10	7.5	10	10	9.3	5	5	9.2	7
Vientiane Capital	Sangthong	Sangthong	9	10	10	7.5	6.7	10	5	10	10	7.1
Phongsaly	Phongsaly	Phongsaly	5	10	5	10						6.5
Phongsaly	May	May	10	10	5	10	7.5	9.3	5	10	10	7
Phongsaly	Khua	Khua	10	10	5	10	10	9.3	5	10	10	7.1
Phongsaly	Samphanh	Samphanh	10	10	5	5						6.5
Phongsaly	Boon neua	Boon neua	8	10	10	10	10	10	8.3	10	9.2	9
Phongsaly	Nhot ou	Nhot ou	9	10	10	7.5	7.5	10	5	8.8	9.2	7
Phongsaly	Boontay	Boontai	7	10	10	10	10	10	8.3	10	10	8.5
Louangnamtha	Namtha	Ban Vieng kham	9	10	10	10	10	10	6.7	8.8	10	8.3
Louangnamtha	Sing	Sing	9	10	10	10	10	10	6.7	7.5	10	8.2
Louangnamtha	Long	Long	9	10	10	10	10	9.3	6.7	6.3	10	7.9
Louangnamtha	Viengphoukha	Viengphoukha	8	10	10	10	7.5	9.3	5	6.3	10	7
Louangnamtha	Nalae	Nalae	9	10	10	10	10	10	6.7	6.3	10	7.9
Oudomxai	Xay	Nongmengda	5	10	7.5	10						6.8
Oudomxai	La	La	8	10	9.2	7.5	6.7	4.3	3.3	10	9.2	5.7
Oudomxai	Namor	Namor	10	10	10	7.9	9.2	9.3	5	5	9.2	6.9
Oudomxai	Nga	Nga	8	10	5	8.8	7.5	10	3.3	8.8	10	5.9
Oudomxai	Beng	Beng	10	10	6.7	9.2	7.5	10	6.7	7.5	10	7.9
Oudomxai	Hoon	Hoon	6	10	10	10	8.3	7.1	5	7.5	10	6.8
Oudomxai	Parkbeng	Pakbeng	6	10	10	9.2	3.3	7.1	5	10	10	5.8
Bokeo	Huoixai	Huoixai	10	10	7.5	7.9	7.5	7.1	5	10	10	6.9
Bokeo	Meung	Meung	9	10	5	8.8	7.5	7.1	5	7.5	8.3	6.5
Louangphabang	Luangprabang	Phosy	10	10	10	9.2	10	10	6.7	10	10	8.3
Louangphabang	Xieng ngeun	Xieng ngeun	7	10	10	9.2	7.5	10	5	6.3	10	6.9
Louangphabang	Nan	Nan	10	10	9.2	10	10	10	3.3	7.5	10	6.4
Louangphabang	Park ou	Park ou	10	10	5	10	6.7	3.6	3.3	8.8	10	5.6
Louangphabang	Nambak	Nambak	10	10	5	7.9	5	4.3	3.3	8.8	10	5.5
Louangphabang	Ngoi	Ngoi	10	10	5	8.8	5	10	3.3	10	10	5.9
Louangphabang	Park xeng	Pak xeng	10	10	8.3	8.8	10	8.6	5	10	10	7.2
Louangphabang	Phonxay	Phonxay	7	10	10	7.1	2.5	10	5	6.3	10	5.3
Louangphabang	Viengkham	Viengkham	8	10	5	8.3	2.5	8.6	6.7	10	10	5.3
Houaphan	Xamneua	Xamneua	10	10	7.5	10	9.2	10	6.7	6.3	10	7.8
Houaphan	Hiem	Huim	10	10	9.2	10	7.5	10	5	8.8	10	7.2
Houaphan	Viengxay	Viengxay	7.5	7.5	10	10						8.3
Houaphan	Xamtay	Xamtay	10	10	10	7.5	10	9.3	6.7	10	10	8.2
Houaphan	Sopbao	Sopbao	9	7.5	10	7.5	10	10	6.7	8.8	10	8
Houaphan	Add	Add	9	10	10	7.5	10	10	5	8.8	10	7.2

Province	District	Market	Assortment	Availability	Price	Resilience	Competition	Infrastructure	Service	Quality	Protection	MFI Score
Houaphan	Xon	Sone	10	10	7.5	10	10	10	5	7.5	10	7.2
Xaignabouly	Xayabury	Xayabury	10	10	6.7	10	10	10	3.3	8.8	10	6.3
Xaignabouly	Phiang	Phiang	10	10	5.8	10	10	10	3.3	5	10	6
Xaignabouly	Parklai	Parklai	10	10	10	7.5	7.5	7.1	5	7.5	9.2	6.8
Xiengkhouang	Pek	Phonsavan	10	10	5	7.5	10	10	3.3	10	10	6.1
Xiengkhouang	Kham	Kham	6	7.5	5	6.3	3.3	10	5	1.3	10	3.9
Xiengkhouang	Nonghed	Nonghed	9	10	10	10	5	5.7	5	8.8	10	6.8
Xiengkhouang	Khoune	Khoune	10	10	6.7	8.3	10	10	3.3	8.8	10	6.2
Xiengkhouang	Mork	Morkmay	10	10	2.5	8.8	7.5	10	3.3	10	10	5.5
Vientiane	Phonhong	Phonhong	9	10	10	8.8	5	10	5	10	9.2	7
Vientiane	Feuang	Feuang	10	10	6.7	10	5.8	10	5	10	8.3	6.9
Bolikhamxai	Pakxane	Indochina	10	10	7.5	10	10	8.6	5	10	10	7.2
Khammouan	Thakhek	Lak2	10	10	10	10	5.8	8.6	3.3	10	10	6.2
Khammouan	Mahaxay	Mahaxay	10	10	10	10	6.7	9.3	3.3	10	10	6.3
Khammouan	Nhommalath	Nhommalath	10	10	10	8.8	10	10	6.7	10	10	8.3
Khammouan	Bualapha	Bualapha	10	10	10	7.5	6.7	9.3	5	8.8	10	7
Khammouan	Xaybuathong	Xaybuathong	10	10	10	7.9	5	10	5	8.8	10	7
Savannakhet	Kaysone Phomvihane	Savanxay	10	10	10	8.8	10	10	6.7	7.5	9.2	8.1
Savannakhet	Xonbuly	Xonbuly	10	10	10	7.5	10	9.3	6.7	8.8	9.2	8.1
Salavan	Saravane	Saravane	10	10	5	10	10	10	5	10	10	7.2
Salavan	Ta oi	Ta oi	4	10	5	9.2	1.7	9.3	5	10	10	4.6
Salavan	Toomlarn	Toomlarn	7	10	10	10		8.6	5	10	10	4.2
Salavan	Lakhonepheng	Lakhonepheng	6	10	5	10	10	10	6.7	10	10	7.1
Salavan	Samuoi	Samuoi	8	10	5	6.3	9.2	7.1	5	8.8	10	6.6
Sekong	Lamarm	Lamarm	10	10	5	8.8	10	10	6.7	8.8	10	7.1
Sekong	Dakcheung	Dakcheung	7	10	5	7.5	10	10	3.3	8.8	10	5.9
Sekong	Thateng	Thateng	8	10	7.5	9.6	7.5	7.9	5	8.8	10	6.9
Champasack	Pakse	Daoheuang	10	10	10	9.2	10	10	6.7	8.8	10	8.3
Champasack	Bachiangchaleunsook	Bachiang	10	10	5	7.1	10	8.6	10	6.3	10	7
Champasack	Sukhuma	Sukhuma	7	10	10	7.5	5	9.3	3.3	6.3	10	5.7
Champasack	Moonlapamok	Moonlapamok	7	10	5	10	3.3	10	6.7	10	10	5.9
Champasack	Khong	Khong	9	10	5.8	10	10	6.4	3.3		9.2	3.8
Attapeu	Xaysetha	Xaysetha	9	10	8.3	10	10	7.1	5	3.8	6.7	6
Attapeu	Samakkhixay	Samakkhixay	10	10	10	7.9	10	10	5	10	10	7.3
Attapeu	Sanamxay	Sanamxay	10	10	10	10	7.5	5.7	5	7.5	7.5	6.8
Attapeu	Sanxay	Sanxay	6	10	8.3	10	3.3	10	5	7.5	10	5.8
Attapeu	Phouvong	Phouvong	8	10	10	10	10	8.6	5	10	10	7.3
Xaisomboon	Anouvong	Anouvong	7	10	10	10	7.5	9.3	3.3	8.8	10	6.1

Market Functionality:

- Very high (7 – 10)
- High (6 – 7)
- Medium to high (5 – 6)
- Low to medium (4 – 5)
- Low (3 – 4)
- Very low (0 – 3)

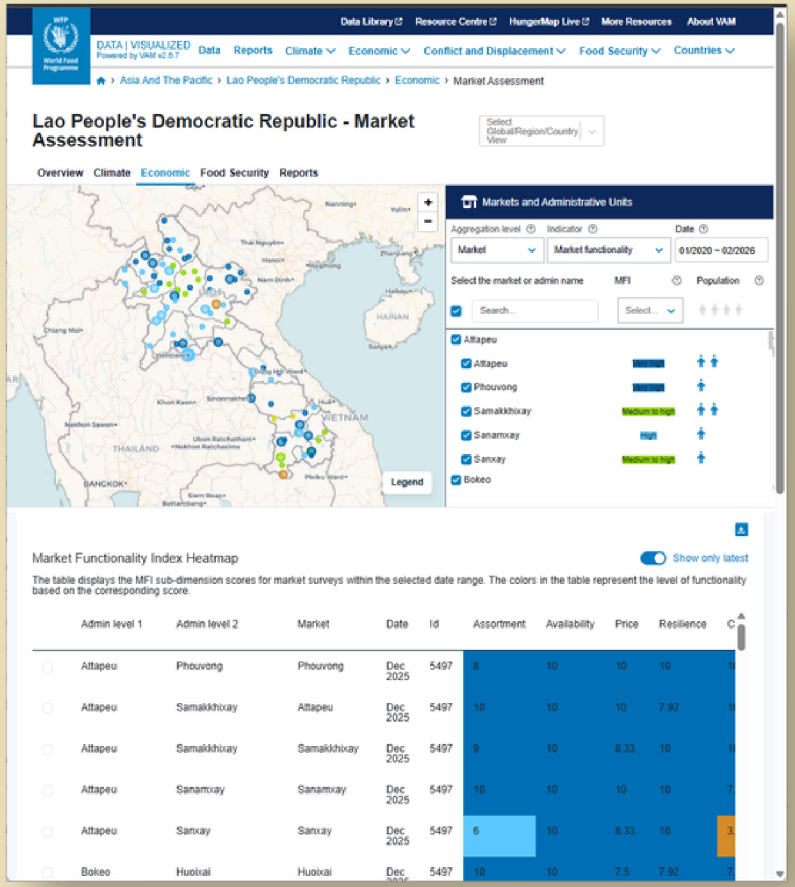
Higher Scores (closer to 10): *Indicate a well-functioning market where traders have a good assortment of goods, prices are stable, supply chains are reliable, and access is generally good.*
Lower Scores (closer to 0): *Signal market weaknesses, such as limited availability of essential items, volatile prices, poor infrastructure, or significant access and protection challenges.*

Recommendations

In Lao PDR, high-functioning markets are typically found in provincial capitals and district centres along major transport corridors (e.g. Vientiane Capital, Savannakhet town, Pakse, Luang Prabang, and selected border towns).

- Market-based assistance (cash or vouchers) is appropriate in these locations, as markets are generally supplied through established national and cross-border trade routes and are able to respond to increased demand without significant risk of price distortion under normal conditions.
- Unrestricted cash transfers can be prioritized where price stability and trader competition are strong (e.g. multiple wholesalers and retailers sourcing from Thailand, Viet Nam, or domestic hubs), allowing households flexibility to meet diverse food and essential non-food needs through regular market channels.
- Continuous monitoring remains important, particularly for import-dependent commodities (e.g. rice, cooking oil, fuel-linked goods), given exposure to exchange-rate movements and regional price shocks.

- Building on the challenges described above, weak or fragile markets are predominantly located in remote upland districts, particularly in northern regions. In these areas, premature cash injections can lead to price spikes and inequitable access to essential goods, especially when transport disruptions further limit market supply. This highlights the importance of carefully timing and targeting interventions to prevent unintended consequences in vulnerable communities.
- Districts with lower market functionality scores should be actively monitored, as these areas face higher risks of price instability and supply disruptions.
- While CBT feasibility may exist during normal conditions, it is particularly fragile during, heavy rains, floods, landslides, temporary road closures.



World Food Programme

LAO PDR

Don Nokhoum Road, Don Nokhoum Village,

Sisattanak District, Vientiane Capital

Lao PDR - T +856 21 330300 - 6

wfplao@wfp.org